



METHODOLOGY

How They Did It

Economists Bibek Debroy and Laveesh Bhandari explain INDIA TODAY's sixth annual study of states

The methodology for core State of the States (sos) rankings remains unchanged. Variables across eight heads (agriculture, consumer markets, education, law and order, health, infrastructure, investment and macro economy) are aggregated to obtain scores and ranks for each state. Then they are aggregated again to obtain a composite score and rank. Among major states, the composite ranking is topped by Punjab, Tamil Nadu and Himachal Pradesh, in that order, with Uttar Pradesh, Jharkhand and Bihar bringing up the rear. Punjab is pulled up by agriculture, consumer markets, infrastructure, investment and macro economy. It performs poorly in education, health and law and order. Gender discrimination is not a variable included explicitly. Otherwise, Punjab's performance would have been worse. Tamil Nadu does not perform well on either con-

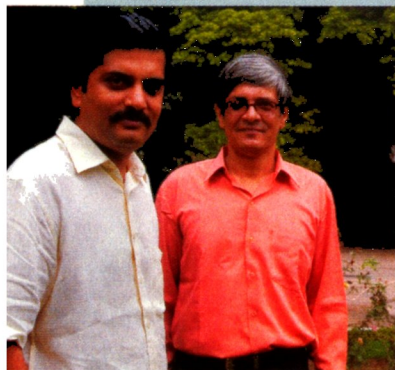
sumer markets or macro economy. Had it not been for agriculture, Himachal Pradesh would have climbed further up.

These ranks and scores are even more revealing. For instance, in agriculture, the gap between Punjab and the second and the third (Haryana and Tamil Nadu) is considerable. And this is mirrored in the gap between Puducherry and all the small states. Consumer markets are clustered in

OUR EXPERTS: Bhandari (left) and Debroy

Punjab, Haryana, Himachal, Maharashtra and Kerala and are non-existent in Jharkhand, Orissa and Bihar. Among smaller states, the gap in consumer markets between Delhi and Goa and the others is even starker. To restate the obvious, south India scores better than the north in governance. To a lesser extent, this is also true of education and health, where some north-eastern states do well, as do Uttarakhand (education), Himachal and Jammu & Kashmir (health). States have often benefited from high-base effects and consequently, apples may be compared with oranges. All states have been improving since 1991—the first year of the survey. Some states have improved a lot after 2000 than in the past.

We are grateful for the intensive data gathering and analysis by Deepa Nayak and Ankur Gupta of Indicus Analytics.



ISHAN TANKHA

ment Bill 2008 was perhaps a fitting culmination to the measures taken to improve public health in the past year, including for the prevention of diseases like measles through vaccination programmes, routine check-ups of newborn babies and treatment of over 10,000 people in medical camps. "With over 37 per cent of Goan women being anaemic, we've decided to give it due attention," says Rajnanda Desai, director of health.

According to Suresh Shanbhogue, joint secretary, budget, the state has identified 20 projects under the public-private partnership, which include a super speciality hospital at the Goa Medical College, a convention centre in partnership with DLF, broadband connectivity with United Telecom Ltd, a cyber treasury project with the State Bank of India and an Oceanarium project in the pipeline.

With its literacy rate at 82 per cent, director of edu-

5 PUDUCHERRY

Time for Change

- Stands out in Agriculture and Governance

When Yann Martel's *Life of Pi* won the Man Booker Prize in 2003, Puducherry, where the Canadian novelist once lived, had hoped for a tipping point in its tourism inflow. A tour of sites mentioned in the book was promptly prepared but it had few takers. Strangely, the state, once known as the booze paradise for its cheap liquor, is losing appeal on other fronts.

The coastal state, which occupied the top slot in the last three INDIA TODAY surveys, has now been pushed to the third position. The most common reason being cited for this slide is the political turmoil in the ruling Congress. N. Rangasamy, the former populist chief minister, had been facing opposition from party rivals ever since he took over in 2006. Things came to a pass a year back. The Congress high command replaced him with V. Vaithilingam. But the damage was done.

In the last year, the Government had little time to promote tourism or keep up with its promises of making the state a hub for IT. The development of a 25-acre IT park remains stuck at the land acquisition stage itself. "If the state is promoted as an IT hub, the professional institutes can, in turn, become a nursery for

The state will be going through an image makeover as tourism is being promoted, as political turmoil clears out.